

**SUBSTITUTE FOR
SENATE BILL NO. 700**

A bill to amend 1936 (Ex Sess) PA 1, entitled
"Michigan employment security act,"
by amending section 62 (MCL 421.62), as amended by 2024 PA 238.

THE PEOPLE OF THE STATE OF MICHIGAN ENACT:

1 Sec. 62. (a) Subject to subsection (h), if the unemployment
2 insurance agency determines that an individual has obtained
3 benefits to which the individual is not entitled, or a subsequent
4 determination by the agency or a decision of an appellate authority
5 reverses a prior qualification for benefits, the agency may recover
6 a sum equal to the amount received plus interest ~~pursuant to~~ **in**
7 **accordance with** section 15(a) by 1 or more of the following
8 methods: deduction from benefits or wages payable to the
9 individual, payment by the individual in cash, or deduction from a



1 tax refund payable to the individual as provided under section 30a
2 of 1941 PA 122, MCL 205.30a. Deduction from benefits or wages
3 payable to the individual is limited to not more than 50% of each
4 payment due the claimant. The unemployment insurance agency shall
5 issue a determination requiring restitution ~~within~~**not later than** 3
6 years after the date of finality of a determination,
7 redetermination, or decision reversing a previous finding of
8 benefit entitlement. Except ~~in the case of~~**for** benefits improperly
9 paid because of suspected identity fraud, the unemployment
10 insurance agency shall not initiate administrative or court action
11 to recover improperly paid benefits from an individual more than 3
12 years after the date that the last determination, redetermination,
13 or decision establishing restitution is final. Except ~~in the case~~
14 ~~of~~**for** benefits improperly paid because of suspected identity
15 fraud, the unemployment insurance agency shall issue a restitution
16 determination on an issue ~~within~~**not later than** 3 years ~~from~~**after**
17 the date the claimant first received benefits in the benefit year
18 in which the issue arose, or ~~in the case of~~**for** an issue of
19 intentional false statement, misrepresentation, or concealment of
20 material information in violation of section 54(a) or (b) or
21 sections 54a to 54c, ~~within~~**not later than** 3 years after the
22 receipt of the improperly paid benefits unless the unemployment
23 insurance agency filed a civil action in a court within the 3-year
24 period; the individual made an intentional false statement,
25 misrepresentation, or concealment of material information to obtain
26 the benefits; or the unemployment insurance agency issued a
27 determination requiring restitution within the 3-year period. The
28 time limits in this section do not prohibit the unemployment
29 insurance agency from pursuing collection methods to recover the



1 amounts found to have been improperly paid. Except ~~in a case of~~ **for**
2 an intentional false statement, misrepresentation, or concealment
3 of material information, the unemployment insurance agency shall
4 waive recovery of an improperly paid benefit if repayment would be
5 contrary to equity and good conscience and shall waive any
6 interest. As used in this subsection, "contrary to equity and good
7 conscience" means any of the following:

8 (i) The claimant provided incorrect wage information without
9 the intent to misrepresent, and the employer provided either no
10 wage information upon request or provided inaccurate wage
11 information that resulted in the overpayment. A waiver granted
12 under the conditions described in this subdivision applies from 30
13 days after the incorrect wage information was first reported to the
14 unemployment insurance agency.

15 (ii) The claimant's average net household income and household
16 cash assets, exclusive of social welfare benefits and unemployment
17 insurance benefits, were, during the 6 months immediately preceding
18 the date of the application for waiver, at or below 150% of the
19 annual update of the poverty guidelines most recently published in
20 the Federal Register by the United States Department of Health and
21 Human Services under the authority of 42 USC 9902(2), and the
22 claimant has applied for a waiver under this subsection. The
23 unemployment insurance agency shall not consider more than 3
24 additional hardship waiver applications from a claimant in a
25 calendar year after receiving an application for a waiver from the
26 claimant. A claimant may not file a new hardship waiver application
27 until a determination, redetermination, administrative decision, or
28 judicial decision regarding the initial application for waiver is
29 final. A waiver granted under the conditions described in this



subdivision applies from the date the application is filed. If the waiver is granted, the unemployment insurance agency shall promptly refund any restitution or interest payments made by the individual after the date of the application for waiver. The unemployment insurance agency shall not deny or refuse to consider an application for a waiver of restitution submitted by a claimant for any matter that has received a final adjudication solely because the claimant has a pending appeal of 1 or more matters that generated the overpayment under consideration to be waived. As used in this subdivision:

(A) "Cash assets" means cash in excess of \$100,000.00 in a checking or savings account, not including wages reported during that period.

(B) "Dependent" means that term as defined in section 27(b) (4) .

(C) "Household" means a claimant and the claimant's dependents.

(iii) ~~The improper payments resulted from improperly paid~~ **benefits are the result of** an administrative or clerical error **made** by the unemployment **insurance** agency. A requirement to repay benefits as the result of a change in judgment at any level of administrative adjudication or court decision concerning the facts or application of law to a claim adjudication is not an administrative or clerical error for purposes of this subdivision. A waiver granted under the conditions described in this subdivision applies from the date that the administrative or clerical error occurred. If the date the error occurred cannot be determined, the waiver applies from the first day of the first week that the improper payments for which the waiver is being sought began.



1 (iv) Subject to this subdivision and except for claims in which
2 a final determination is made that benefits were improperly paid
3 because of fraud or identity fraud, if the improperly paid benefit
4 was paid after February 7, 2020 but before September 5, 2021, the
5 improperly paid benefit is considered to be the result of an
6 administrative or clerical error made by the unemployment insurance
7 agency under subdivision (iii). The unemployment insurance agency
8 shall not waive recovery of an improperly paid benefit described in
9 this subdivision unless the unemployment insurance agency issues a
10 request to the United States Department of Labor seeking permission
11 to allow the unemployment insurance agency to grant waivers for
12 improperly paid federal benefits resulting from an administrative
13 or clerical error as described in this subdivision, and 1 of the
14 following occurs:

15 (A) If the United States Department of Labor approves the
16 request, the legislature appropriates sufficient funds to this
17 state's account of the unemployment trust fund to cover this
18 state's costs associated with waiving recovery of the improperly
19 paid state benefits described in this subdivision.

20 (B) If the United States Department of Labor denies the
21 request, the legislature appropriates sufficient funds to this
22 state's account of the unemployment trust fund to cover this
23 state's costs associated with waiving recovery of the improperly
24 paid state benefits described in this subdivision and to reimburse
25 the federal government's costs associated with waiving recovery of
26 the improperly paid federal benefits described in this subdivision.

27 (b) If the unemployment insurance agency determines that a
28 claimant has intentionally made a false statement or
29 misrepresentation or has concealed material information to obtain



1 benefits, whether or not the claimant obtains benefits by or
2 because of the intentional false statement, misrepresentation, or
3 concealment of material information, the unemployment insurance
4 agency shall, in addition to any other applicable interest and
5 penalties, cancel the claimant's rights to benefits for the benefit
6 year in which the act occurred as of the date the claimant made the
7 false statement or misrepresentation or concealed material
8 information, and shall not use wages used to establish that benefit
9 year to establish another benefit year. A chargeable employer may
10 protest a claim filed after October 1, 2014 to establish a
11 successive benefit year under section 46(c), if there was a
12 determination by the unemployment insurance agency or decision of a
13 court or administrative tribunal finding that the claimant made a
14 false statement, made a misrepresentation, or concealed material
15 information related to the claimant's report of earnings for a
16 preceding benefit year claim. If a protest is made, the
17 unemployment insurance agency shall not use any unreported earnings
18 from the preceding benefit year that were falsely stated,
19 misrepresented, or concealed to establish a benefit year for a
20 successive claim. Before receiving benefits in a benefit year
21 established ~~within~~ **not later than** 4 years after cancellation of
22 rights to benefits under this subsection, the claimant, in addition
23 to making the restitution of benefits established under subsection
24 (a), may be liable for an additional amount as otherwise determined
25 by the unemployment insurance agency under this act, which may be
26 paid by cash, deduction from benefits, or deduction from a tax
27 refund. The claimant is liable for any fee the federal government
28 imposes with respect to instituting a deduction from a federal tax
29 refund. Restitution resulting from the intentional false statement,



1 misrepresentation, or concealment of material information is not
2 subject to the 50% limitation provided in subsection (a).

3 (c) Any determination made by the unemployment insurance
4 agency under this section is final unless an application for a
5 redetermination is filed in accordance with section 32a.

6 (d) The unemployment insurance agency shall take the action
7 necessary to recover all benefits improperly obtained or paid under
8 this act, and to enforce all interest and penalties under
9 subsection (b). The unemployment insurance agency may conduct an
10 amnesty program for a designated period under which penalties and
11 interest assessed against an individual owing restitution for
12 improperly paid benefits may be waived if the individual pays the
13 full amount of restitution owing within the period specified by the
14 agency.

15 (e) Interest recovered under this section must be deposited in
16 the contingent fund.

17 (f) The unemployment insurance agency shall not make a
18 determination that a claimant made an intentional false statement,
19 misrepresentation, or concealment of material information that is
20 subject to sanctions under this section based solely on a computer-
21 identified discrepancy in information supplied by the claimant or
22 employer. An unemployment insurance agency employee or agent must
23 examine the facts and independently determine that the claimant or
24 the employer is responsible for a willful or intentional violation
25 before the agency makes a determination under this section.

26 (g) By January 31 each year, ~~beginning in 2019,~~ the
27 unemployment insurance agency shall provide a written report
28 regarding waivers under subsection (a) (ii) to the chairpersons of
29 the standing committees and the appropriations subcommittees of the



house of representatives and senate having jurisdiction over legislation pertaining to employment security. The report must include all of the following information from the immediately preceding calendar year in a form that does not identify an individual, claimant, or employer:

(i) The procedures relating to waivers that the unemployment insurance agency used or adopted.

(ii) The number of applications for a waiver the unemployment insurance agency received.

(iii) The number of individuals who submitted an application for a waiver.

(iv) The number of waivers that were granted by each of the following methods:

(A) An unemployment insurance agency determination.

(B) An unemployment insurance agency redetermination.

(C) An administrative law judge order.

(D) A Michigan compensation appellate commission order.

(E) A court order.

(v) The number of waivers that were denied, tabulated by the reason for the denial, by each of the following methods:

(A) An unemployment insurance agency determination.

(B) An unemployment insurance agency redetermination.

(C) An administrative law judge order.

(D) A Michigan compensation appellate commission order.

(E) A court order.

(vi) The total amount of restitution waived.

(h) The unemployment insurance agency shall not initiate recovery of improperly paid benefits under subsection (a) until the unemployment insurance agency has reviewed the claim for



1 eligibility to receive a waiver under subsection (a) (i) and (iii) to
2 which the claimant may be entitled and issued a notice to the
3 claimant that includes all of the following information:

4 (i) A determination of eligibility for each waiver for which
5 eligibility was considered or, if a determination could not be
6 reached, the information the unemployment insurance agency needs to
7 make a determination.

8 (ii) The consequences of each determination on the claimant's
9 benefit rights and any overpayment owed, including the issue or
10 matter generating the overpayment and the weeks of benefits
11 affected.

12 (iii) The claimant's protest and appeal rights with respect to
13 the determination or redetermination on the claimant's eligibility
14 for a waiver and the underlying determination or redetermination
15 that generated the overpayment.